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### PMLA POLICY



**PREVENTION OF MONEY LAUNDERING POLICY (PMLA) FOR STOCK BROKING  
AND THE DEPOSITORY OPERATIONS**

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**PREVENTION OF MONEY LAUNDERING POLICY (PMLA) FOR STOCK BROKING  
AND THE DEPOSITORY OPERATIONS**

**1.0 INTRODUCTION**

1.1 Money Laundering may be defined as cleansing of dirty money obtained from legitimate or illegitimate activities including drug trafficking, terrorism, organized crime, fraud and many other crimes with the objective of hiding its source and rendering it in legally usable form. It is any act or attempted act to conceal or disguise the identity of illegally obtained proceeds so that they appear to have originated from legitimate sources. The process of money laundering involves creating a web of financial transactions so as to hide the origin of and true nature of these funds.

1.2 India enacted the Prevention of Money Laundering Act, 2002. (Hereinafter referred to as 'Act'). The Prevention of Money Laundering Act, 2002 has come into effect from 1<sup>st</sup> July, 2005. Necessary Notifications / Rules under the said Act have been published in the Gazette of India on 1<sup>st</sup> July, 2005 by the Department of Revenue, Ministry of Finance, and Government of India.

1.3 Securities and Exchange Board of India (hereinafter referred to as SEBI) issued master circular on December 31, 2010 (ref CIR/ISD/AML/3/2010) consolidating all the requirements/ instructions issued by SEBI with regard to AML/ CFT and supersedes the earlier circulars, dated September 01, 2009, December 19, 2008, March 20, 2006 and January 18, 2006. As per the Circular, all the intermediaries registered with SEBI under Section 12 of the SEBI Act were advised to ensure that a proper policy framework on anti-money laundering measures was put in place. This was essentially in conformity with the Prevention of Money Laundering Act, 2002 and the Rules framed there under by SEBI.

1.4 Money Laundering in India

With the growing financial sector, India is vulnerable to money laundering activities. Some common sources of illegal proceeds in India are narcotics trafficking, illegal trade in gems, smuggling, corruption and income tax evasion. Large portions of illegal proceeds are laundered through the alternative remittance system called "hawala". Under this system, individuals transfer funds from one country to another or from one state to another, often without the actual movement of currency.

1.5 Prevention of Money Laundering Act, 2002

To combat money-laundering activities, the Government of India enacted the Prevention of Money Laundering Act, 2002 (hereinafter referred to as the "Act") on January 17, 2003.

The basic objective of the Act is three fold, viz.:





- To prevent, combat and control money laundering.
- To confiscate and seize the property obtained from the laundered money.
- To deal with any other issue connected with money laundering in India.

## **2.0 THE MONEY LAUNDERING PROCESS**

Money can be obtained illegally from various criminal activities like drug trafficking, terrorism, organized crime and fraud. As criminals attempt to conceal the true origin and ownership of the proceeds of their criminal activities and provide a legitimate cover for their source of income they usually follow three stages:

- a) **Placement** - This is where the criminal proceeds are first-injected into the system. It is also the stage where those who are educated, briefed and alert to the process of money laundering, have the best chance of detecting what is happening and are thus best able to thwart and disrupt the process at the outset.

At this stage, very often larger amounts of money are divided and distributed into smaller amounts to avoid suspicion and then paid into a series of bank accounts, arose to purchase securities, or life policies or other assets, sometimes many kinds of assets, all to achieve the prime purpose of being able to inject the tainted money or value into the legitimate mainstream financial/business system.

Eg: A criminal having huge crime proceeds in form of cash, can deposit this cash in bank accounts maintained with difference banks, in the name of his relatives, friends and associates, in small amounts.

- b) **Layering** - After the injection has taken place and the tainted money or value has entered and become mixed up in the main mass of money or value in the financial system, it is spun around different accounts, different names, different ownerships, plus different instruments and investments.

All these movements are designed to disguise the origins of the money or value and thus confuse those who might be attempting to trace the money or value back to the root, criminal source.

Facilitated by the birth of electronic funds transfer technology the fast movement of funds through multiple jurisdictions often with different laws, creates major problems for investigators of identification, access and ultimately achieving successful prosecutions.

- c) **Integration**- Placing the laundered proceeds back into the economy in such a way that they re-enter the financial system as apparently legitimate funds.





Integration means the reinvestment of those funds in an apparently legitimate business so that no suspicion of its origin remains and to give the appearance of legitimizing the proceeds

Section 3 of the Prevention of Money Laundering Act, 2002 defines the offences or laundering. In terms, of this section whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime and projecting it as untainted property shall be guilty of an offence of money laundering.

The term proceeds of crime have been defined under Section 2(u) of the Act viz:

"Any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a scheduled offence or the value of any such property."

The said section broadly states that if a person is involved in the process of projecting proceeds of crime as untainted property then he shall be guilty of money laundering, for indulging in the said process of the following three elements / activities shall play a very important role:

Possession or ownership of the proceeds of crime or property acquired from proceeds of crime, which is being reflected as untainted property.

Transactions relating to proceeds of crime like converting its form

Concealment of the original transaction and/or creating ghost transactions from concealing actual transactions. E.g. Possessing Benami Property, Unexplained cash credits, unexplained expenditure, bogus or fictitious accounts, unexplained investments.

### **3.0 APPLICABILITY OF PREVENTION OF ANTI MONEY LAUNDERING PROCEDURES TO DALAL & BROACHA STOCK BROKING PRIVATE LTD**

Provisions of Prevention of Money Act, 2002 applies to Dalal & Broacha Stock Broking Pvt. Ltd being an intermediary registered with SEBI.

As per provision of section 2(n) of the Act, term "Intermediary" means:

" A stock-broker, sub-broker, share transfer agent, banker to an issue, trustee to a trust deed, registrar to an issue, merchant banker, underwriter, portfolio manager, investment adviser and any other intermediary associated with securities market and registered under section 12 of the Securities and Exchange Board of India Act, 1992 (15 of 1992);

In terms of rules framed under the Act, inter alia, every intermediary shall

- (a) Maintain a record of all transactions, the nature and value of which may be prescribed, whether such transactions comprise of single





transaction or a series of transactions integrally connected to each other, and where such series of transactions take place within a month;

- (b) Furnish information of transactions referred to in Clause (a) to the Director within such time as may be prescribed;
- (c) Verify and maintain the records of the identity of all its Clients, in such a manner as may be prescribed

Further in terms of rules made under the Act, all intermediaries shall maintain a record of:

- (a) all cash transactions of the value of more than rupees ten lakhs or its equivalent in foreign currency;
- (b) all series of cash transactions integrally connected to each other which have been valued below rupees ten lakhs or its equivalent in foreign currency where such series of transactions have taken place within a month;
- (c) all cash transaction where forged or counterfeit currency notes or bank notes have been used as genuine and where any forgery of a valuable security has taken place;
- (d) all suspicious transactions whether or not made in cash;
- (e) identity and current address or addresses including permanent address or addresses of the Client, the nature of business of the Client and his financial status; Provided that where it is not possible to verify the identity of the Client at the time of opening an account or executing any transaction, the banking company, financial institution and intermediary, as the case may be, shall verify the identity of the Client within a reasonable time after the account has been opened or the transaction has been executed.

#### **4.0 PREVENTION OF MONEY LAUNDERING POLICY OF DALAL & BROACHA STOCK BROKING PVT.LTD.**

It is recognized in master circular no CIR/ MSD/AML/3/2010 dated December 31, 2010 that "one -size-fits- all" approach may not be appropriate for securities in India, each registered intermediary shall consider the specific nature of its business, organization structure, type of clients and transactions, etc when implementing the suggested measures and procedures to ensure that they are effectively applied.

The overriding principle is that intermediary should satisfy itself that the measure taken by it are adequate, appropriate and abide by the spirit of such measures and the requirements as enshrined in the PMLA

The Company is into the following activities:

- (i) **Institutional Broking**



Institutional Broking is being carried out only with reputed institutions, banks and mutual funds. There is no complex or unusual transactions with no apparent economic or visible or lawful purpose. All trades are custodial trades and all payments are through proper banking channels. PMLA procedures including KYC procedures would have limited applicability in case of institutional broking.

**(iii) WDM**

There is no transaction that involves transfer of money by the Clients with company's assistance. PMLA procedures including KYC procedures would have limited applicability role in case of WDM broking.

**(ii) Retail Broking / Depository Participants**

Retail broking / Depository participants is a segment where PMLA / KYC procedures would be critical since it involves transactions with clients in respect of whom information would not be available in public domain, transfer of money/ shares by the clients etc

Dalal & Broacha Stock Broking Pvt Ltd hereby documents PMLA policy of the company which would be upgraded from time to time.

**Broad Objectives:**

-The purpose of this policy is to set out the prevention of money laundering commitments and obligations for Dalal & Broacha Stock Broking Pvt Ltd (hereinafter referred to as 'Company')

-This policy is based on the provision of the "Prevention of Money Laundering Act, 2002 and circular issued by SEBI and exchanges from time to time.

-This internal policy sets out and establishes governing principles, broad guidelines and standards to be adopted by the company in order to protect the company from being used by any person to launder money.

**Policy Objectives:**

- To protect *the Company* from being used for money laundering
- To follow thorough "Know Your Customer" (KYC) policies and procedures in the day-to-day business.
- To take appropriate action, once suspicious activities are detected, and report to designated authorities in accordance with applicable law / laid down procedures.
- To comply with applicable laws as well as norms with reference to Money Laundering.





## **5.0 PROCEDURES FOR PREVENTION OF MONEY LAUNDERING ACTIVITIES**

PMLA procedures of Dalal & Broacha Stock Broking Pvt Ltd will have following three specific parameters which are related to overall 'Client Due Dilligence Process'

- a. Policy for acceptance of clients
- b. Procedure for identifying the clients
- c. Transaction monitoring and reporting especially Suspicious Transactions Reporting (STR)

### **Customer Due Diligence**

Company will follow steps/adopt practices towards customer due diligence.

-Obtain sufficient information in order to identify persons who beneficially own or control the securities account. The beneficial owner is the natural person or persons who ultimately own, control or influence a client and / or persons on whose behalf a transaction is being conducted. It also incorporates those persons who exercise ultimately effective control over a legal person or arrangement.

-Verify the client identity using the reliable, independent source documents, data or information

-Conduct ongoing due diligence and scrutiny i.e. perform ongoing scrutiny of the transactions and account throughout the course of business relation ship to ensure that transactions conducted are consistent with information available with the company in respect of client, its business and risk profile, the client's source of funds

-Periodically update relevant documents, data or information of all clients and beneficial owners collected under the CDD process.

### **Acceptance of Client & Risk Based Approach**

No account would be opened in a fictitious / benami name or on an anonymous basis.

No account would be opened where the company is unable to apply appropriate CDD measures/ KYC policies.

Factors of risk perception of the client would be clearly defined based on parameters laid down. Clients would be classified into high risk, medium risk and low risk category. Certain category of clients can be categorized into Clients of Special Category.

Clients falling under special, high risk, medium risk category will require higher degree of due diligence and regular update of KYC profile.





Broad criteria for risk categorization of client indicated in **Annexure A.**

**Clients of special category (CSC):**

Such clients would include following:

1. Non resident clients
2. High Net worth Clients
3. Trust, Charities, Non- Governmental Organisations (NGOs) and organizations receiving donations
4. Companies having close family shareholding or beneficial ownership
5. Politically Exposed Persons
6. Companies offering foreign exchange offerings
7. Clients in high risk countries where existence / effectiveness of money laundering controls is suspect, where there is unusual banking secrecy, countries active in narcotics production, countries where corruption is highly prevalent, countries against which government sanctions are applied, countries reputed to be havens/ sponsors of international terrorism, offshore financial centers, tax heavens, countries where fraud is highly prevalent.
8. Non face to face clients
9. Clients with dubious reputation as per public information available

**Client Identification Procedures**

Every client would be identified based on only photo identity as prescribed under applicable KYC norms. The PAN Card, which is compulsory, would also serve as a photo identity. Other Identity proofs which might be collected for verification are as under:

- I. Passport
- II. Voter ID Card
- III. Driving license
- IV. PAN card with photograph
- V. Identity card/document with applicant's Photo, issued by
  - a) Central/State Government and its Departments,
  - b) Statutory/Regulatory Authorities,
  - c) Public Sector Undertakings,
  - d) Scheduled Commercial Banks,
  - e) Public Financial Institutions,
  - f) Colleges affiliated to Universities (**this can be treated as valid only till the time the applicant is a student**),
  - g) Professional Bodies such as ICAI, ICWAI, ICSI, Bar Council etc., to their Members, and
  - h) Credit cards/Debit cards issued by Banks.

The address of the Client would be verified from one of the following:

- I. Ration card
- II. Passport



- III. Voter ID Card
- IV. Driving license
- V. Bank passbook / Bank Statement
- VI. Verified copies of
  - a) Electricity bills (**not more than two months old**),
  - b) Residence Telephone bills (**not more than two months old**) and
  - c) Leave and License agreement / Agreement for sale.
- VII. Self-declaration by High Court & Supreme Court judges, giving the new address **in respect of their own accounts.**
- VIII. Identity card/document with address, issued by
  - a) Central/State Government and its Departments,
  - b) Statutory/Regulatory Authorities,
  - c) Public Sector Undertakings,
  - d) Scheduled Commercial Banks,
  - e) Public Financial Institutions,
  - f) Colleges affiliated to Universities (**this can be treated as valid only till the time the applicant is a student**) and
  - g) Professional Bodies such as ICAI, ICWAI, Bar Council etc., to their Members.

**KYC Norms to be followed for verification / scrutiny**

- a) The photo in the PAN card and in any other address identify which contains a photograph must match. This is our process to ensure that no account is opened in anonymous or fictitious names.
- b) As per SEBI, CDSL, NSE & BSE guidelines, all Address and Identification proofs, should be verified with the originals by any of the employee of Dalal & Broacha Stock Broking Pvt Ltd Care should be taken that the employee, who is verifying the copies of the proofs, should be competent to do the same.
- c) In-Person verification of Applicant (s) as it is already made compulsory as per Exchanges and CDSL circulars, can be done by employee's of Dalal & Broacha Stock Broking Pvt Ltd only, and cannot be outsourced in any case. The person conducting the verification should visit the address provided by the applicant (s) and conduct in-person verification, if required.
- d) Proof should be collected for both permanent address and correspondence address, if both are not the same and should be verified with the originals.
- e) Notwithstanding the above, the Company prohibits doing business with any individual or entity whose identify cannot be determined or who refuses to provide information or who have





provided information that contains significant inconsistencies which cannot be resolved after due investigation.

- f) Verify whether any of the existing Client or new Applicant, falls within the UN sanction list and/ or is debarred by SEBI from dealing in securities. In this case, if any of the Existing Client falls in either of the categories, the said Client would be suspended from trading/depository immediately & the matter would be reported to the concerned Regulatory Authority. In case of new applicant falling within the category, such account should not be opened. After new circulars from both the Exchange as well from CDSL, they are providing the list of the clients who are registered with the brokers, it should be banned with immediate effect in the trading, depository and back office software.
- g) In case of Non Resident clients, remittance only from approved banking channels will be accepted. In case of FII's, the investment must be from the current account maintained with the Reserve Bank of India.
- h) The identity in case of Corporate / Trust accounts, the Proof of identity of all the directors/Authorised signatories/Trustees are obtained before opening such account.

The above constitutes KYC norms and will be strictly followed so that the company has no doubt about the Client identity. The account of any existing Client not able to satisfy his/her identity will be frozen till identity is established.

#### **Transaction monitoring and reporting especially Suspicious Transactions Reporting (STR)**

The company will monitor transactions and activity in clients account as a on going process to identify suspicious transactions indicating possibility of money laundering.

Suspicious transactions involve funds derived from illegal activities or is intended or conducted in order to hide or disguise funds or assets derived from illegal activities (including, without limitation, the ownership, nature, source, location, or control of such funds or assets) as part of a plan to violate or evade any law or regulation or to avoid any transaction reporting requirement under the law; The transaction has no business or apparent lawful purpose or is not the sort in which the particular customer would normally be expected to engage, and the financial institution knows of no reasonable explanation for the transaction after examining the available facts, including the background and possible purpose of the transaction.

Whether a particular transaction is actually suspicious or not will depend on the background, details of the transactions and other facts and circumstances.

Broad guidelines for identifying suspicious transactions indicated in **Annexure B 2**





### **Reporting (Disclosure) of Suspicious Activity**

The 'Principal Officer' shall report the information relating to suspicious transactions to the Director, Financial Intelligence Unit-India (FIU-IND) at the following address as may modified by the SEBI from time to time:

Director, FIU-IND,  
Financial Intelligence Unit-India,  
6<sup>th</sup> Floor, Hotel Samrat,  
Chanakyapuri,  
New Delhi - 110021

The reporting requirements and formats shall be as per the circulars issued by FIU-IND, SEBI, Exchanges, CDSL from time to time.

If any employee suspects or has reasonable ground to believe that a customer is involved in money laundering must promptly be reported to the Principal Officer.

### **6.0 RECORD MAINTENANCE**

- (i) It should be ensured that the records of identification, address, account opening, and transactions are retained for the normal prescribed period or a minimum of ten years after a relationship has ended, whichever is higher.
- (ii) Records of every transaction (including vouchers) undertaken for a customer must also be retained for the normal prescribed period or at least ten years after the transaction occurred whether the account is open or closed. These records must be sufficient to permit a transaction or series of transactions to be accurately re-created and form a reliable audit trail. This includes any transactions undertaken where settlement has been provided in cash rather than funds drawn from the customer's account.
- (iii) Records relating to training, compliance monitoring, and internal and external suspicious activity reports, should also be retained for the normal prescribed period or a minimum of ten years, whichever is higher.
- (iv) Records should be maintained in such a manner that they can be easily retrieved whenever required. Records can be in any format i.e. hard, soft, on computer, or other electronic format.
- (v) Documentary evidence of any action taken in response to internal and external reports of suspicious activity, including the records of the Compliance Head, must also be retained for at least ten years. Where it is known that an investigation is ongoing, the relevant records should be retained till the investigation is completed. If there is no evidence that an investigation is underway ten years after the external report was made, the report does not need to be retained any longer.
- (vi) Where business is refused because of a failure to meet the KYC Standards or other anti-money laundering requirements, a record of the refusal should be retained. (no record is required where business is refused on purely commercial grounds).





## **7.0 PRINCIPAL OFFICER – RESPONSIBILITIES**

The company has appointed Mr. Chetan Mehta as Principal Officer for framing, updating and monitoring the internal controls, policies and procedures as per the requirements of Prevention of Money Laundering Act – 2002 (hereinafter referred to as Act). The company has also appointed an Alternate Officer Mr. Shivram Masaye, as a substitute when the notified Principal Officer is not available due to any reasons.

The Director/s shall be the competent authority for identifying the Principal and Alternate Officers. The Director/s may delegate the authority to appoint the Principal Officer and/or Alternate Officer.

He will be responsible for undertaking training programs and advising on money laundering issues, investigating and reporting suspicious activity to (Financial Intelligence Unit) FIU – India, Ministry of Finance.

He will determine whether the information brought to his attention gives rise to knowledge or suspicion, or reasonable grounds for knowledge or suspicion, that a suspect is engaged in money laundering. He will decide whether or not a report should be made to FIU.

The Principal Officer and other appropriate, compliance, risk management and related staff members shall have timely access to customer identification data and other CDD information, transaction records and other relevant information.

Principal Officer will keep a written record of all matters reported to him, of whether or not the suspicion was reported to FIU, and of the reason for his decision. Each case will be dealt with in confidence in order to avoid any possibility of "tipping off" or of prejudicing company's relationship with the suspect.

Principal Officer will also be responsible for supervising all aspects of liaison with the relevant authorities in the event of any subsequent investigation. He is responsible for establishing and maintaining adequate arrangements for awareness and training, as well as for making annual reports to senior management.

In summary, his responsibilities includes-

- Initiation and Maintenance of these procedures
- Liaison between company and the enforcement authorities
- Acting as the central point within company for receiving Money Laundering Suspicion Reports from you
- Liaison between group companies and offices in money laundering related matters.

The role of Principal Officer is essentially that of co-ordination and guidance.



## **8.0 INTERNAL CONTROLS**

### THIRD PARTY RECEIPTS ("TPR") AND PAYMENTS ("TPP")

Both TPR and TPP are considered to be high risk given that they may be used to lodge funds with Man or pass funds through Man as part of the laundering process. Furthermore either strategy may be used for fraud purposes or be indicative of a client who may be undertaking unauthorised investment activities on behalf of others.

Clients should not be offered or encouraged to use a TPR or TPP facility as this is contrary to the company's policy and also a regulatory violation. If a TPR is received from a client this should be considered as suspicious and reported to the Principal Officer and Compliance Department. A request for a TPP, even on an exceptional and one-off basis will need to be justified and subject to approval. In either case the Principal Officer will decide what further action is necessary, including the involvement of law enforcement agencies.

### POLITICALLY EXPOSED PERSONS ("PEPS")

These types of person are essentially senior figures with significant political influence, their immediate family members and close associates. They often have control over government funds. Should you receive enquiries from one, or someone you suspect may be one, please contact the Principal Officer for further information as to the enhanced due diligence required in relation to such people.

### CASH RECEIPTS / PAYMENTS

As a policy Dalal & Broacha Stock Broking Pvt Ltd does not accept or pay cash from / to clients.

## **9.0 HIRING AND TRAINING OF EMPLOYEES**

The company shall have adequate screening procedures in place to ensure high standards while hiring employees. Risk of money laundering and terrorist financing would be considered while hiring employees.

Training will be given to staff members through staff training program, distribution of circulars, publications in respect of PMLA requirements

Employees must familiarize themselves with their customers' normal trading activities and usual market practices in order to recognize anomalous behavior.

It is the active responsibility of each and every employee of the company to ensure that the company and its facilities, resources, employees are not being misused in any manner.





## **10. Policy for Dormant Account:**

### **Scope:**

To define procedures to ensure that no unauthorized transactions are done in any dormant client account

### **Background & Definition:**

At Dalal & Broacha Stock Broking Pvt. Ltd, above 90% clients trades are delivery based backed by receipt of shares/ money from respective client, it itself indicates genuineness of the trade.

Considering the restrictive practices followed by the company against speculative trading, clients would only do delivery based trades. In such scenario, frequency of trades may not be frequent in case of certain clients.

Client Account would be treated as dormant if there is no transaction (trade) in the account for one year from the last trade.

### **Checks & Balances:**

Whenever there is request for trade in dormant account, the office bearer will cross verify the identity over the telephone asking for details of reference or confirming address/ telephone number or any other identification details.

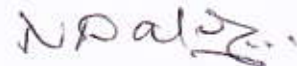
At the end of the day, the office bearer will independently call on direct or mobile number of the client and give details of the trade to ensure that order was placed by the respective client only.

Back office staff will ensure that delivery of the trade is coming from respective client Only.

Accounts staff will ensure that cheque for shares purchased is coming from respective client Only.

Letter from client along with proof of identity would be requested in case there is suspicion.

For Dalal & Broacha Stock-Broking Pvt. Ltd.



Director / Authorised Signatory



## BROAD CRITERIA'S FOR RISK CATEGORIZATION OF CLIENTS

### High Risk Clients:

1. Trust, Charities, NGOs and organizations receiving donations.
2. Clients who are refusing to provide their financials details / source of income.
3. Non - Individual Clients having close family shareholdings or beneficial ownership i.e. less than 5 shareholders or if a single person shareholding is more 75% of the total shares.
4. Loss making Non- Individual clients or if reserves and surplus balance is less than Rs. 5 lac.
5. Clients against whom any action has been taken by SEBI/Stock Exchange or any other regulatory authority.
6. Corporate / Partnership Firms / any other entities with track record of less than 2 years.
7. Individual clients whose employer is a politician, income tax / custom department / any other government department.
8. Non Resident Indian (NRI) clients
9. Corporate clients not disclosing the identity, address of Directors, not giving financial statements.
10. Clients residing in highly sensitive areas. For example, naxalite regions, areas where dealing in narcotic drugs, immoral traffic, corruption, etc is highly predominant. This includes person residing in UAE, Chandrapur (India), Kashmir (India), Leh-Ladakh, Pakistan, Kuwait, Iran & Iraq, Bangladesh.
11. Client having bank account with countries where secrecy of the account is maintained.
12. Politically exposed persons (PEP), family members or close relatives of PEPs. Politically exposed persons are individuals who are or have been entrusted with prominent public functions in a foreign country, e.g., Heads of States or of Governments, senior politicians, senior government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc.
13. Companies offering foreign exchange offerings.
14. Clients in high risk countries (where existence/effectiveness of money laundering controls is suspect or which do not or insufficiently apply FATF standards, where there is unusual banking secrecy, Countries active in narcotics production, Countries where corruption (as per Transparency International Corruption Perception Index) is highly prevalent, Countries against which government sanctions are applied, countries reputed to be any of the following - Havens / sponsors of international terrorism, offshore financial centers, tax havens, countries where fraud is highly prevalent.
15. Non face to face clients.
16. Clients with dubious reputation as per public information available etc





**Medium Risk Clients:**

1. Individuals whose annual income ranges for last three years is Rs. 25,00,000 and above and who have not submitted any financial documents.
2. Client whose account is operated by POA holder other than the company (Dalal & Broacha Stock Broking Pvt Ltd)
3. Clients who has given trading authorization in some other person's name. (excluding sub broker)
4. House wives Accounts
5. Clients who have not given the nature of business or nature of business are lending, investment, finance, credit etc.

**Low Risk Clients:**

All clients not meeting the above criterions are low risk clients.



## ANNEXURE- 2

### **GUIDELINES FOR IDENTIFYING SUSPICIOUS TRANSACTIONS**

The examples given herein below have been structured around the business processes within our industry. The list of examples is not exhaustive. The examples below should be read in the context of the particular transaction.

The regular monitoring of all customers — both new and longstanding — must include consideration of whether accounts are being used for questionable purposes.

While it is impossible to list all the transactions or circumstances that might raise a suspicion of money laundering, the following questions should be closely considered:

- Is the customer willing to accept uneconomic terms without apparent reason?
- Is the transaction inconsistent with legitimate business activity?
- Is the transaction inconsistent with the normal pattern of the customer's activity?
- Is the transaction inconsistent with the customer's account-opening documents?
- Has the customer requested that the transaction be cleared in a way that is inconsistent with normal practice?
- Has the customer received wire transfers from, or sent wire transfers to, countries that have not previously been associated with the customer's business?
- Is the customer or the customer's business activity associated with countries recognized by regulators as high-risk money laundering centers?

#### **New business**

- False identification documents
- Identification documents which could not be verified within reasonable time
- A person for whom verification of identity proves unusually difficult or who is reluctant to provide details
- Non-face to face clients
- Doubt over the real beneficiary of the account
- Accounts opened with names very close to other established business entities
- A person where there are difficulties and delays in obtaining copies of meaningful accounts or other documents of incorporation;
- Involvement of countries where production of drugs or drug trafficking may be prevalent, or which have particular problems with organised crime, terrorism, corruption or fraud.
- A client with no discernible reason for using the firm's service (e.g. clients with distant addresses who could find the same service nearer their home base, or clients whose requirements are not in the normal pattern of the firm's business and could be more easily serviced elsewhere);
- An investor introduced by an overseas bank, affiliate or other investor, when both investor and introducer are based in countries where production of drugs or drug trafficking may be prevalent;





### **Dealing patterns**

- Transactions not in line with the investor's normal trading activity / Unusual activity compared to past transactions.
- Buying and selling of an investment with no rationale purpose or in circumstances which appear unusual (e. g. churning at the client's request);
- Usually trading in low-grade securities.
- Trades with no economic rationale or bona fide purpose
- Doubtful sources of funds
- Appears to be a case of insider trading
- Investment proceeds transferred to a third party
- Transactions reflect likely market manipulations
- Suspicious off market transactions
- Use of different accounts by client alternatively
- Sudden activity in dormant accounts
- Activity inconsistent with what would be expected from declared business.
- Account used for circular trading
- Large number of accounts having a common account holder, introducer or authorized signatory with no rationale
- Unexplained transfers between multiple accounts with no rationale

### **Abnormal transactions**

- Involvement of apparently unrelated third parties;
- A number of transactions by the same counterparty in small amounts of the same investment and then sold in one transaction, the proceeds being credited to an account different from the original account;
- Any transaction in which the nature, size or frequency appears unusual (e. g. early termination of packaged products at a loss due to front end loading, or early cancellation, especially where cash had been tendered and/or the refund cheque is to a third party);
- Transactions not in keeping with normal practice in the market to which they relate (e.g. with reference to market size and frequency, or at off-market prices);
- Other transactions linked to the transaction in question which could be designed to disguise money and divert it into other forms or to other destinations or beneficiaries.
- Value just under the reporting threshold amount in an apparent attempt to avoid reporting
- Large sums being transferred from overseas for making payments
- Inconsistent with the clients apparent financial standing
- Inconsistency in the payment pattern by client
- Block deal which is not at market price or prices appear to be artificially inflated/deflated.

### **Intermediaries**

- There are many clearly legitimate reasons for use of an intermediary. However, the use of intermediaries also introduces further parties into transactions thus increasing complexity and preserving anonymity.
- Any apparently unnecessary use of an intermediary should give rise to further enquiry.



### **Employees and agents**

- Changes in employee characteristics (e. g. lavish life styles or avoiding taking holidays);
- Changes in employee or agent performance (e. g. salesman has a remarkable or unexpected increase in performance);
- Any dealing with an agent where the identity of the ultimate beneficiary or counterparty is undisclosed, contrary to normal procedure for the type of business concerned.

### **Payment**

- A number of transactions by the same counterparty in small amounts of the same investment and then sold in one transaction;
- Payment by way of third party cheque or money transfer where there is a variation between the account holder, the signatory and the prospective investor.

### **Delivery**

- Settlement to be made by way of bearer securities from outside a recognised clearing system;
- Allotment letters for new issues in the name of persons other than the client.
- Involvement of third parties for receipt / delivery of securities





**POLICIES AND PROCEDURE FOR PREVENTION OF MONEY LAUNDERING**  
(As per the requirements of the PMLA Act 2002)

**1. Firm Policy**

It is the policy of the firm to prohibit and actively prevent money laundering and any activity that facilitates money laundering or the funding of terrorist or criminal activities. Money laundering is generally defined as engaging in acts designed to conceal or disguise the true origins of criminally derived proceeds so that the unlawful proceeds appear to have derived from legitimate origins or constitute legitimate assets.

**2. Principal Officer Designation and Duties**

The firm has a Principal Officer for its Anti-Money Laundering Program, who takes full responsibility for the firm's AML program and is qualified by experience, knowledge and training. The duties of the Principal Officer will include monitoring the firm's compliance with AML obligations and overseeing communication and training for employees. The Principal Officer will also ensure that proper AML records are kept. When warranted, the Principal Officer will ensure filing of necessary reports with the Financial Intelligence Unit (FIU – IND)

**3. Customer Identification and Verification**

At the time of opening an account or executing any transaction with it, the firm will verify and maintain the record of identity and current address or addresses including permanent address or addresses of the client, the nature of business of the client and his financial status as under

| Constitution of Client | Proof of Identity                                                                                                                  | Proof of Address               | Others                                                                                  |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|-----------------------------------------------------------------------------------------|
| Individual             | 1. PAN Card                                                                                                                        | 2. Copy of Bank Statement, etc | 3. N.A.                                                                                 |
| Company                | 4. PAN Card<br>5. Certificate of incorporation<br>6. Memorandum and Articles of Association<br>7. Resolution of Board of Directors | 8. As above                    | 9. Proof of Identity of the Directors/ Others authorized to trade on behalf of the firm |
| Partnership Firm       | 10. PAN Card<br>11. Registration Certificate<br>12. Partnership deed                                                               | 13. As above                   | 14. Proof of Identity of the Partners/Others authorized to trade on behalf of the firm  |
| Trust                  | 15. PAN Card<br>16. Registration certificate<br>17. Trust deed                                                                     | 18. As above                   | 19. Proof of Identity of the Trustees/others                                            |



|         |                                                                                                                                       |              |                                                                                   |
|---------|---------------------------------------------------------------------------------------------------------------------------------------|--------------|-----------------------------------------------------------------------------------|
|         |                                                                                                                                       |              | authorized to trade on behalf of the trust                                        |
| AOP/BOI | 20. PAN Card<br>21. Resolution of the managing body<br>22. Documents to collectively establish the legal existence of such an AOP/BOI | 23. As above | 24. Proof of Identity of the Persons authorized to trade on behalf of the AOP/BOI |

25. If a potential or existing customer either refuses to provide the information described

above when requested, or appears to have intentionally provided misleading information, our firm will not open the new account.

26. All PAN Cards received will verified form the Income Tax/ NSDL website before the account is opened.

27. The firm will maintain records of all identification information for ten years after the account has been closed.

#### 4. Maintenance of records

The Principal Officer will be responsible for the maintenance for following records:

- all cash transactions of the value of more than rupees ten lakhs or its equivalent in foreign currency;
- all series of cash transactions integrally connected to each other which have been valued below rupees ten lakhs or its equivalent in foreign currency where such series of transactions have taken place within a month;
- all cash transaction where forged or counterfeit currency notes or bank notes have been used as genuine and where any forgery of a valuable security has taken place;
- all suspicious transactions whether or not made in cash. Suspicious transaction means a transaction whether or not made in cash which, to a person acting in good faith –
  - gives rise to a reasonable ground of suspicion that it may involve the proceeds of crime; or
  - appears to be made in circumstances of unusual or unjustified complexity; or
  - appears to have no economic rationale or bonafide purpose; or
  - gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism

The records shall contain the following information:

- the nature of the transactions;
- the amount of the transaction and the currency in which it was denominated;
- the date on which the transaction was conducted; and





- the parties to the transaction.

The records will be updated on daily basis, and in any case not later than 5 working days

#### 5. Monitoring Accounts For Suspicious Activity

The firm will monitor through the automated means of Back Office Software for unusual size, volume, pattern or type of transaction. For non automated monitoring, the following kinds of activities are to be mentioned as Red Flags and reported to the Principal Officer.

- The customer exhibits unusual concern about the firm's compliance with government reporting requirements and the firm's AML policies (particularly concerning his or her identity, type of business and assets), or is reluctant or refuses to reveal any information concerning business activities, or furnishes unusual or suspicious identification or business documents.
- The customer wishes to engage in transactions that lack business sense or apparent investment strategy, or are inconsistent with the customer's stated business or investment strategy.
- The information provided by the customer that identifies a legitimate source for funds is false, misleading, or substantially incorrect.
- Upon request, the customer refuses to identify or fails to indicate any legitimate source for his or her funds and other assets.
- The customer (or a person publicly associated with the customer) has a questionable background or is the subject of news reports indicating possible criminal, civil or regulatory violations.
- The customer exhibits a lack of concern regarding risks, commissions, or other transaction costs.
- The customer appears to be acting as an agent for an undisclosed principal, but declines or is reluctant, without legitimate commercial reasons, to provide information or is otherwise evasive regarding that person or entity.
- The customer has difficulty describing the nature of his or her business or lacks general knowledge of his or her industry.
- The customer attempts to make frequent or large deposits of currency, insists on dealing only in cash, or asks for exemptions from the firm's policies relating to the deposit of cash.
- The customer engages in transactions involving cash or cash equivalents or other monetary instruments that appear to be structured to avoid the Rs. 10,00,000 government reporting requirements, especially if the cash or monetary instruments are in an amount just below reporting or recording thresholds.
- For no apparent reason, the customer insists for multiple accounts under a single name or multiple names, with a large number of inter-account or third-party transfers.
- The customer engages in excessive journal entries between unrelated accounts without any apparent business purpose.





- The customer requests that a transaction be processed to avoid the firm's normal documentation requirements.
- The customer, for no apparent reason or in conjunction with other red flags, engages in transactions involving certain types of securities, such as Z group and T group stocks, which although legitimate, have been used in connection with fraudulent schemes and money laundering activity. (Such transactions may warrant further due diligence to ensure the legitimacy or the customer's activity.)
- The customer's account shows an unexplained high level of account activity.
- The customer maintains multiple accounts, or maintains accounts in the names of family members or corporate entities, for no apparent purpose.
- The customer's account has inflows of funds or other assets well beyond the known income or resources of the customer.

When a member of the firm detects any red flag he or she will escalate the same to the Principal Officer for further investigation.

Broad categories of reason for suspicion and examples of suspicious transactions for an intermediary are indicated as under:

i. Identity of Client

- False identification documents
- Identification documents which could not be verified within reasonable time
- Non-face to face client
- Doubt over the real beneficiary of the account.
- Accounts opened with names very close to other established business entities

ii. Suspicious Background

- Suspicious background or links with known criminals

iii. Multiple Accounts

- Large number of accounts having a common account holder, introducer or authorized signatory with no rationale.
- Unexplained transfers between multiple accounts with no rationale

iv. Activity in Accounts

- Unusual activity compared to past transactions
- Use of different accounts by client alternatively
- Sudden activity in dormant accounts
- Activity inconsistent with what would be expected from declared business
- Account used for circular trading

v. Nature of Transactions

- Unusual or unjustified complexity
- No economic rationale or bonafide purpose
- Source of funds are doubtful
- Appears to be case of insider trading
- Investment proceeds transferred to a third party





- Transactions reflect likely market manipulations
- Suspicious off market transactions
- vi. Value of Transactions
  - Value just under the reporting threshold amount in an apparent attempt to avoid reporting
  - Large sums being transferred from overseas for making payments
  - Inconsistent with the clients apparent financial standing
  - Inconsistency in the payment pattern by client
  - Block deal which is not at market price or prices appear to be artificially inflated/deflated

## **6. Reporting to FIU IND**

### **For Cash Transaction Reporting**

- All dealing in Cash that requiring reporting to the FIU IND will be done in the CTR format and in the matter and at intervals as prescribed by the FIU IND

### **For Suspicious Transactions Reporting**

We will make a note of Suspicion Transaction that have not been explained to the satisfaction of the Principal Officer and thereafter report the same to the FIU IND and the required deadlines. This will typically be in cases where we know, suspect, or have reason to suspect:

- the transaction involves funds derived from illegal activity or is intended or conducted in order to hide or disguise funds or assets derived from illegal activity as part of a plan to violate or evade any the transaction reporting requirement,
- the transaction is designed, whether through structuring or otherwise, to evade the any requirements of PMLA Act and Rules framed thereof
- the transaction has no business or apparent lawful purpose or is not the sort in which the customer would normally be expected to engage, and we know, after examining the background, possible purpose of the transaction and other facts, of no reasonable explanation for the transaction, or
- the transaction involves the use of the firm to facilitate criminal activity.

We will not base our decision on whether to file a STR solely on whether the transaction falls above a set threshold. We will file a STR and notify law enforcement of all transactions that raise an identifiable suspicion of criminal, terrorist, or corrupt activities.

All STRs will be reported quarterly to the Board of Directors, with a clear reminder of the need to maintain the confidentiality of the STRs

We will not notify any person involved in the transaction that the transaction has been reported, except as permitted by the PMLA Act and Rules thereof.

## **7. AML Record Keeping**

### **i. STR Maintenance and Confidentiality**

We will hold STRs and any supporting documentation confidential. We will not inform anyone outside of a law enforcement or regulatory agency or securities





regulator about a STR. We will refuse any requests for STR information and immediately tell FIU IND of any such request we receive. We will segregate STR filings and copies of supporting documentation from other firm books and records to avoid disclosing STR filings. Our Principal Officer will handle all requests or other requests for STRs.

**ii. Responsibility for AML Records and SAR Filing**

Principal Officer will be responsible to ensure that AML records are maintained properly and that STRs are filed as required.(if required)

**iii. Records Required**

As part of our AML program, our firm will create and maintain STRs and CTRs and relevant documentation on customer identity and verification. We will maintain STRs and their accompanying documentation for at least ten years.

**8. Training Programs**

We will develop ongoing employee training under the leadership of the Principal Officer. Our training will occur on half yearly basis. It will be based on our firm's size, its customer base, and its resources.

Our training will include, at a minimum: how to identify red flags and signs of money laundering that arise during the course of the employee's duties; what to do once the risk is identified; what employees' roles are in the firm's compliance efforts and how to perform them; the firm's record retention policy; and the disciplinary consequences (including civil and criminal penalties) for non-compliance with the PMLA Act.

We will develop training in our firm, or contract for it. Delivery of the training may include educational pamphlets, videos, intranet systems, in-person lectures, and explanatory memos.

We will review our operations to see if certain employees, such as those in compliance, margin, and corporate security, require specialized additional training. Our written procedures will be updated to reflect any such changes.

**9. Monitoring Employee Conduct and Accounts**

We will subject employee accounts to the same AML procedures as customer accounts, under the supervision of the Principal Officer. We will also review the AML performance of supervisors, as part of their annual performance review. The Principal Officer's accounts will be reviewed by the Board of Directors

**10. Confidential Reporting of AML Non-Compliance**

Employees will report any violations of the firm's AML compliance program to the Principal Officer, unless the violations implicate the Principal/Compliance Officer, in which case the employee shall report to the Chairman of the Board.



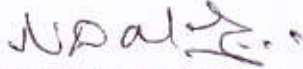


Such report will be confidential, and the employee will suffer no retaliation for making them.

**11. Board of Directors Approval**

We have approved this AML program as reasonably designed to achieve and monitor our firm's ongoing compliance with the requirements of the PMLA and the implementing regulations under it.

For Dalal & Broacha Stock Broking Pvt.Ltd.



Director/Authorised Signatory

